NDIS Quality and Safeguards Commission

Our ref: EC22-002103

Hybrid Hive Pty Ltd
Unit 2, 210 Jull St
Armadale WA 6112

Attention: Mr Simon Reid, Director

By post

Opportunity to make submissions about a proposed banning order under section 73ZN of the *National Disability Insurance Scheme Act 2013* (Cth)

I am a delegate of the Commissioner for the NDIS Quality and Safeguards Commission (the Commission).

Section 73ZN of the *National Disability Insurance Scheme Act 2013* (Cth) (the NDIS Act) gives me, as the Commissioner's delegate, the power to make an order known as a banning order. A banning order can prohibit or restrict specified activities by an NDIS provider.

Proposed banning order

I have formed the view that it may be appropriate in all the circumstances to make a banning order permanently prohibiting Hybrid Hive Pty Ltd from being involved in the provision of supports or services to people with disability.

The basis for this view is that I reasonably believe that Hybrid Hive Pty Ltd has contravened the NDIS Act and is not suitable to provide supports or services to people with disability. I am therefore empowered to make a banning order against Hybrid Hive Pty Ltd under sections 73ZN(1)(b)(i) and 73ZN(1((b)(iii) of the NDIS Act.

The purpose of this letter is to inform you of relevant facts and the matters that are of concern to me and to give you the opportunity to make submissions about this before I make a final decision.

Relevant concerns

As a result of information provided to the Commission and the Commission's own enquiries, I understand the following:

1. Hybrid Hive Pty Ltd (ACN 651 140 108) was registered as a corporate entity on 17 June 2021.
2. The sole director and shareholder of Hybrid Hive Pty Ltd is Simon Reid (S REID).

<u>Requirement to comply with NDIS Code of Conduct – contravention of the NDIS Act</u>

3. Section 73V of the NDIS Act makes provision for the NDIS Code of Conduct. The *National Disability Insurance Scheme (Code of Conduct) Rules 2018* are made for the purposes of section 73V of the NDIS Act and include:

a. under section 6(a) that in providing supports or services to people with disability, a Code-covered person must act with respect for individual rights to freedom of expression, self-determination and decision-making in accordance with applicable laws and conventions;

b. under section 6(d) that in providing supports or services to people with disability, a Code-covered person must act with integrity, honesty and transparency; and

c. under section 6(f) that in providing supports or services to people with disability, a Code-covered person must take all reasonable steps to prevent and respond to all forms of violence against, and exploitation, neglect and abuse of, people with disability.

4. On 19 October 2022, S REID's wife and business partner, Ms Vida Reid (V REID) was arrested and charged with four offences, being:

a. Between 1 December 2021 and 17 May 2022 at Perth in the State of Western Australia, V REID dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth).

b. That between 26 December 2021 and 23 June 2022 at Perth in the State of Western Australia, V REID dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth).

c. That between 30 November 2021 and 08 April 2022 at Perth in the State of Western Australia, V REID caused payment requests to be submitted, which he knew to be false, to the National Disability Insurance Agency (NDIA), a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1 (3) of the Criminal Code (Cth).

d. That between 18 November 2021 and 19 April 2022 at Perth in the State of Western Australia, V REID caused payment requests to be submitted, which he knew to be false, to the NDIA, a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1 (3) of the Criminal Code (Cth).

5. The statement of material facts in support of these charges relevantly notes:

a. Between 26 November 2021 and 22 June 2022, V REID and S REID caused 81 false 'payment requests' to be submitted against the funding of two NDIS participants, with the intention of dishonestly causing a loss to the Commonwealth. As a result of these claims, V REID and S REID received money reasonably suspected of being proceeds of crime to the sum of $247,484.78.

b. Between 26 August 2022 and 21 September 2022, Zettai Pty Ltd trading as Assist Plan Managers submitted 11 separate reports of suspicious invoices submitted by Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd.

c. V REID encouraged an employee, Ms Leah Norman (Ms Norman) to inflate the amount of time she spent coordinating support services for participants. Ms Norman alleges V REID could claim for residual funds left in a participants plan towards the end of the plan expiry. Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd are

responsible for $1,485,527 in claims from expired plans. This represents 31% of total successful claims.

d. Between 30 November 2021 and 10 May 2022, claims to a combined total of $127,475.30 were submitted by Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd against the NDIS plan of Ms Meghan Goodwin (Ms Goodwin). These amounts were paid into Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd accounts for which V REID and S REID are the joint signatories. Ms Goodwin has provided evidence that she did not receive the services purportedly provided in these claims.

e. Between 24 November 2021 and 22 June 2022, claims to a total combined value of $120,009.48 were submitted by Forward Focused Group Pty Ltd against the NDIS plan of Ms Sarah-Jane Clulow (Ms Clulow). These amounts were paid into Forward Focused Group Pty Ltd accounts for which the joint signatories are V REID and S REID. Ms Clulow has provided evidence that she did not receive the services purportedly provided in these claims.

6. V REID is subject to bail conditions, including a protective bail condition that V REID is not to communicate directly with any person who is considered to be a current or past recipient of services provided by Hybrid Hive Pty Ltd or Forward Focused Group Pty Ltd about the content of any evidence they may give, or be able to give, in the prosecution of these charges.

7. Staff of Forward Focused Group Pty Ltd undertook work on behalf of and represented Hybrid Hive Pty Ltd, including in respect of the delivery of supports and services and the submission and resolution of claims against NDIS plans for purported supports and services.

8. Information held by the Commission identifies Hybrid Hive Pty Ltd has engaged in the following conduct, in contravention of the NDIS Code of Conduct and which presents a range of risks to NDIS participants, including through exploitation and undermining their independence, choice and control:

    a. Whilst NDIS participants in most instances executed service agreements with Forward Focused Group Pty Ltd, NDIS participants' plans were claimed against by other providers including Hybrid Hive Pty Ltd, without knowledge of any service delivery by both providers, nor with their consent. More specifically:

        i. The following NDIS participants entered into a service agreements with Forward Focused Group Pty Ltd. Claims were made by Hybrid Hive Pty Ltd against their NDIS plans, in circumstances in which the participants or their nominees had not executed a service agreement with Hybrid Hive Pty Ltd and where the claims had not been authorised by those NDIS participants or their nominees:

            - Mr Bassam Haidar (Mr Haidar);
            - Ms Amber Wilson (Ms Wilson), nominee for her children's NDIS plans;
            - Ms Gina Regali (Ms Regali), nominee for her children's NDIS plans;
            - Mr Hrimnir Benediktsson; and
            - Ms Jessica Harrison, nominee for child's NDIS plan.

        ii. Ms Regali further raised concerns with Mr Blake Sadler (Mr Sadler), a support coordinator employed by Forward Focused Group Pty Ltd, concerning invoices for services not delivered. Mr Sadler sent a text to Ms

Regali stating Forward Focused Group Pty Ltd was 'changing the dates on the December Hive invoice'.

iii. Ms Jessica Harrison further raised her concerns with Mr Sadler, who advised her that 'it was fine' and to tell her plan manger to pay the invoices. Mr Sadler also advised that he would find out why Hybrid Hive Pty Ltd was claiming against Charlie Harrison's plan, for which Mr Sadler did not provide any further information.

iv. Claims were fraudulently submitted by and paid to Forward Focused Group Pty Ltd and/or Hybrid Hive Pty Ltd for services not delivered, including in respect of:

- The NDIS plans of Ms Wilson's children for capacity building and training in self-management and plan management and house cleaning and other household activities;
- The NDIS plan of Ms Sarah-Jane Clulow (Ms Clulow), specifically:
    - Invoice 1217 for $3,127.50 which was questioned by Ms Clulow. V REID advised there was an extra charge for tax, above the $2,470.00 amount Ms Clulow claims is the correct figure;
    - All claims for short term accommodation;
    - All claims by Forward Focused Group Pty Ltd for community access, house cleaning, assistance with self-care activities and community participation;
    - All claims for dates in which other providers had already claimed;
    - All claims for self-management building capacity;
    - All claims for psychology during March and April 2022, excluding one hour per week in March 2022;
    - Invoice 1146-1; and
    - Invoice 1375-1.
- The NDIS plan of NDIS participant, Seyed Yunus Hashimi, for services allegedly delivered whilst he was overseas;
- The NDIS plan of NDIS participant, Mr Andrew Hahn (Mr Hahn), for psychosocial counselling, assistance with self-care activities and capacity building and training in self-management and plan management; and
- The NDIS plan of NDIS participant, Ms Angela Cutler, for assistance with self-care, capacity building and training in self-management, assessment recommendation – other therapy and community access.

Particulars of further information that the Commission holds in respect of falsified and inappropriate claims made by Focused Group Pty Ltd and/or Hybrid Hive Pty Ltd against the NDIS plans of other NDIS participants are as follows:

NDIS Participant	Description of fraudulent claims
Barry MacDonald	Household cleaning and other household activities claimed to have been delivered between 1 May 2021 and 17 July 2021
Bassam Haidar	Claims for house cleaning, provider travel, access to community social and recreational, counselling, self-managed capacity building, short term accommodation or respite, assistance with self-care, assistance with decision making and low-cost AT – personal care and safety.
Ziah O'Reilly	Claims for training in plan management and financial management, assessment recommendation – therapy and support coordination
Angelus Regali-Park **Indiana Regali-Park**	Claims for short term accommodation, self-management capacity building, support coordination and house cleaning and other household activities.
Hayden Trantham	Claims for assessment recommendation – therapy and/or training on 12 to 14 August 2022, counselling, psychosocial recovering coaching and provider travel.
Hrimnir Benediktsson	Claims for assistance with self-care activities, access community, social and rec activities.
Levi Jetoh	Claims for counselling, delivery of health supports by a registered nurse – weekday daytime for 25 to 26 May 2021
Charlie Harrison	Claims for self-management capacity building, psychosocial recovery coaching, counselling, assistance with self-care activities, specialised behavioural intervention support, assessment recommendation therapy and/or Training, skills development training, innovative community participation and support coordination.
Ben Dines	11 hours of household cleaning
Bekki Mulock	62 hours of household cleaning totalling $1,556.20 and $1,528.30, support coordination
Georgios Taraganis **Liz Odi**	250.8 hours of house cleaning between 15 September 2021 and 26 October 2021 totalling $12,590.16, 178.88 hours of house cleaning between 20 and 31 August 2021, self-management capacity building including invoices 124-1 and 125-1, establishment fee for personal care/participation including invoices 519-1 and 545-1, counselling including invoices 313 and 277-1, assistance with self-care activities including invoices 277-1 and 273 and self-management capacity building under invoice 396.

NDIS Participant	Description of fraudulent claims
Miah Cimafranca	Claims for provider travel, assessment recommendation therapy and/or training and counselling.
Marisha Lombard	Claims for short term accommodation, access community, social and rec activities, counselling, psychology services and house and/or yard maintenance.
Meghan Goodwin	Claims for self-managed building capacity, house and yard maintenance.
Janine Craig	Claims for capacity building and training in self-management and plan management, assistance with decision making daily planning and budgeting skills, development and training and assessment recommendation therapy or training – counsellor.
Paul Gilbert	Claims for skills development and training and support coordination.
Sarah-Jane Hammond	Claims for capacity building and training in self-management and plan management.
Yvonne Harrison	Claims for psychosocial recovery coaching, services claimed to have been delivered on weekends and public holidays, claims for all services prior to December 2021, claims for cleaning services, short term accommodation, employment support and more than 4 hours of assistance with self-care activities in any given day or by more than one person.

This conduct identifies failures by Hybrid Hive Pty Ltd to act with integrity, honesty and transparency, in contravention of section 73V of the NDIS Act.

b. Hybrid Hive Pty Ltd submitted falsified and inappropriate claims against the expiring or expired NDIS plan of NDIS participants, with the objective of exhausting funds in those NDIS plans. More specifically:

   i. Invoices were issued weekly against the expired NDIS plan of Ms Goodwin, for services not provided by Forward Focused Group Pty Ltd or Hybrid Hive Pty Ltd;

   ii. Invoices were issued by Hybrid Hive Pty Ltd against the expired NDIS plan of Ms Yvonne Harrison (Ms Harrison) for alleged services occurring in March 2021. Ms Harrison commenced services with Forward Focused Group Pty Ltd in November 2021 and with Hybrid Hive Pty Ltd in March 2022; and

   iii. 14 invoices were issued by Hybrid Hive Pty Ltd against the expired NDIS plan of Ms Janine Craig for alleged services delivered but for which there was no record held by Hybrid Hive Pty Ltd.

This conduct further identifies failures by Hybrid Hive Pty Ltd to act with integrity, honesty and transparency, in contravention of section 73V of the NDIS Act.

c. Hybrid Hive Pty Ltd, and Mr Rejaul Alam (Mr Alam) and V REID on behalf of Hybrid Hive Pty Ltd, authorised payments of invoices on behalf of participants, without their consent. This resulted in NDIS participants' management of their NDIS plans being undermined and funds being exhausted without their knowledge. More specifically:

   i. Ms Danica Hall (Ms D Hall), former employee of Forward Focused Group Pty Ltd, raised concerns with Mr Rejaul Alam (Mr Alam) concerning the validity of invoices raised for which Mr Alam then took responsibility and issued;

   ii. Ms Regali was advised by her plan manager that invoices for dates in January 2022 were accompanied by an email from Mr Alam stating 'we have been advised by the participants have approved the invoice'. Ms Regali confirmed that she had not authorised the invoices; and

   iii. Jessica Harrison is the only person with permission to authorise payments against the NDIS plan of Charlie Harrison. Jessica Harrison has not authorised claims made and paid against Charlie Harrison's plan, including a claims by Infinity Living Options Pty Ltd, an entity for which she has no knowledge.

   This conduct further identifies failures by Hybrid Hive Pty Ltd to act with respect for individual rights to freedom of expression, self-determination and decision-making, and act with integrity, honesty and transparency, in contravention of section 73V of the NDIS Act.

d. Further, Hybrid Hive Pty Ltd and Forward Focused Group Pty Ltd representatives, operating on behalf of Hybrid Hive Pty Ltd, engaged in aggressive claiming activities against the NDIS plans of NDIS participants, making inappropriate and falsified claims for supports and services not delivered. More specifically:

   i. Ms D Hall, was instructed and pressured by V REID to make phone calls to all participants concerning a river cruise for which $7,500 was to be charged against the NDIS plans of participants, including in circumstances in which participants had already declined. V REID instructed Ms D Hall and other support coordinators to charge 15 minutes of support coordination for each phone call against NDIS plans of participants. Ms D Hall further considered this harassment of participants;

   ii. Ms Janine Hall (Ms J Hall), a former employee of Forward Focused Group Pty Ltd, was also directed by V REID to call NDIS participants to harass for attendance at a New Year's Eve cruise. If participants declined, they were placed on the list of another employee to be called. Ms D Hall was instructed by V REID to 'bill' for these phone calls for support coordination, even if phone calls were unanswered;

   iii. Ms D Hall states that she was trained to send invoices for services not provided, send invoices to claim funds from expired plans for services not provided and alter dates on invoices to claim from plans that had funding left in them;

   iv. Ms Norman was directed by V REID to record more hours than the time actually required to provide support coordination, Ms Norman advises 'this was constant; she would call us dumb and tell us we're putting our jobs in jeopardy by not doing what we're told regarding the hours, and that we didn't understand how the NDIS worked'; and

v. Ms Terri Roberts (Ms Roberts), former employee of Forward Focused Group Pty Ltd, alleges V REID directed support coordinators to 'bill participants at least 15 hours per day' and that once this had been achieved, staff would receive 50% of the charge as a bonus.

This conduct further identifies failures by Hybrid Hive Pty Ltd to take all reasonable steps to prevent and respond to all forms of violence against, and exploitation, neglect and abuse of, people with disability and act with integrity, honesty and transparency, in contravention of section 73V of the NDIS Act.

Suitability of Hybrid Hive Pty Ltd to provide supports and services to people with disability

9. The contraventions outlined above, strongly suggests that Hybrid Hive Pty Ltd is not suitable to provide supports or services to people with disability for the following reasons:

- Section 3 of the NDIS Act contains the objects of the NDIS Act, which includes:
  - supporting the independence and social and economic participation of people with disability;
  - enabling people with disability to exercise choice and control in the pursuit of their goals and the planning and delivery of their supports;
  - promoting the provision of high quality and innovative supports that enable people with disability to maximise independent lifestyles and full inclusion in the community; and
  - protecting and prevent people with disability from experiencing harm arising from poor quality or unsafe supports or services provided under the NDIS.

- In giving effect to the objects of the NDIS Act:
  - section 3(3)(b) of the NDIS Act requires regard to be had to the need to ensure the financial sustainability of the NDIS. Similarly, as set out in section 4(17) of the NDIS Act, it is the intention of Parliament that the Commissioner, amongst others, have regard to the need to ensure the financial sustainability of the NDIS in performing functions and exercising powers under the NDIS Act;
  - sections 4(4) and 4(6) of the NDIS Act, provide principles guiding actions under the NDIS Act including:
    - People with disability should be supported to exercise choice, including in relation to taking reasonable risks, in the pursuit of their goals and the planning and delivery of their supports; and
    - People with disability have the same right as other members of Australian society to respect for their worth and dignity and to live free from abuse, neglect and exploitation.

- Hybrid Hive Pty Ltd has engaged in conduct that is in contravention of the NDIS Act, contrary to these guiding principles, as well as the objects of the NDIS Act, and in circumstances have deliberately undermined those principles. More specifically:

- Hybrid Hive Pty Ltd engaged in conduct which limited NDIS participants from exercising their choice and control over their own supports and services, and acted without their consent or authorisation to make decisions about the engagement of supports and services under their NDIS plans. This conduct is serious, and has had significant impacts on the health and wellbeing of participants, particularly where deliberate conduct has been engaged in to subvert the authority of NDIS participants and their nominees;
- Hybrid Hive Pty Ltd and its representatives have engaged in aggressive and dishonest conduct, including the submission of falsified claims for supports and services against NDIS plans, authorising payments without participant consent and entering into new service agreements without the knowledge or consent of NDIS participants and their nominees; and
- The fraudulent conduct set out above presents significant risks to the financial sustainability of the NDIS, as well as to NDIS participants, as victims of fraud. Such conduct takes funds from NDIS participant plans, stopping participants from being able to purchase the supports and service they genuinely need. Further, fraud makes it harder for participants to pursue their goals and outs additional pressures on carers, family, friends and support networks.

Therefore, I have formed the preliminary view that allowing Hybrid Hive Pty Ltd to continue providing supports or services to people with disability poses a continuing risk to people with disability. My view is that is that the need to protect the interests of people with disability, who may be particularly vulnerable, and ensure that they are kept safe, requires that in matters of this kind, a provider that has engaged in conduct detailed above and in contravention of the NDIS Act, must be prevented from delivering supports and services to people with disability. My preliminary view is that Hybrid Hive Pty Ltd is not currently suitable to provide supports or services to people with disability.

Basis for making a banning order

Based on the matters listed above, my preliminary view is that the banning order should permanently prohibit Hybrid Hive Pty Ltd from being involved in the provision of services and supports to people with disability.

Opportunity to make submissions

I have not made a final decision in respect of this matter and I will not do so until Hybrid Hive Pty Ltd has had an opportunity to make submissions in writing to me. This gives Hybrid Hive Pty Ltd the opportunity to tell me anything it believes may be appropriate to bring to my attention, to dispute any of the facts of this matter or to comment on the seriousness of it.

Section 73ZN(7) of the NDIS Act provides that the Commissioner may only make a banning order against a person after giving the person an opportunity to make submissions to the Commissioner on the matter.

You will be notified in writing of any decision made in relation to the proposed banning order.

Should Hybrid Hive Pty Ltd wish to make a submission about the proposed banning order against it, please do so in writing and either:

- Deliver by hand or post to:

  NDIS Quality and Safeguards Commission
  Level 1, 200 St Georges Terrace, Perth WA 6000

Marked for the attention of:
Compliance Western Australia

or

- email to wacompliance@ndiscommission.gov.au

In order to have any written submission considered in my decision-making please ensure that the submission is sent to the email address, delivered to the street address or arrives at the postal address as set above, **by no later than 5:00 pm (AWST) on 30 November 2022.**

If a submission is not received from Hybrid Hive Pty Ltd by this time, I will proceed to make my final decision. Hybrid Hive Pty Ltd may wish to seek legal or other professional advice before deciding whether to make a submission.

NDIS Provider Register

As set out in section 73ZS of the NDIS Act, the NDIS Provider Register must include certain information in relation to a person against whom a banning order is in force.

The information that must be included on the NDIS Provider Register is:

- The name of the person;
- The person's ABN (if any);
- Information about the banning order.

The Commissioner must not publish a part of the NDIS Provider Register if the Commissioner considers that its publication would be contrary to the public interest, or the interests of one or more persons with disability receiving supports or services.

Should I decide to make a banning order against Hybrid Hive Pty Ltd, information about the banning order will be included on the NDIS Provider Register and published on the NDIS Commission's website. Hybrid Hive Pty Ltd may wish to include submissions on this.

Yours sincerely

Philip Halton
Branch Head, Operations - North Central West
NDIS Quality and Safeguards Commission

17 November 2022